

**J E CATUBIG LUMBER TRADING
BARANGAY 1, SAN FRANCISCO,
AGUSAN DEL SUR**

I. INTRODUCTION

One of the most important industries that contributes to the growth and development of the nation is the Lumber business. It is an undertaking under the Regulatory functions of the DENR of which it is prevalent and thriving in CARAGA Region which is known as the Timber Corridor of the Philippines. Every construction of whatever size, kind and needs of lumber be it rough or plain is in high demand not just within our countryside but its worldwide necessity. In short, lumber is needed everywhere, that is why the government had formulated policies to safeguard, protect, preserve and conserve our remaining forest areas aside from its policies on maximum utilization of the forest products in order to be assured of continuous supply of raw materials for lumber, furniture and other value added products. However, at present most of the contractors and end users resorted to using planted species of lumber/fitches as their raw materials.

The proponent of this business plan decides to venture into lumber dealership, box pallet manufacturing which may be considered to be small scale buying and selling business using mechanical equipment such as chainsaw, improvised motorized table saw and trimmers/edger and multiple rip saw as prescribed for the KALAKALAN-20 for livelihood projects.

II. OBJECTIVE

1. To establish a functional lumberyard at Barangay 1, San Francisco, Agusan del Sur in order to cater the lumber needs of the community and the growing economic activity of the area; and
2. To be able to penetrate the domestic market of lumber and other semi-finished such as boxes, wood pallets and other products.

III. MARKETING PROGRAM

Based on statistics and comparative studies of the different government agencies concerned, that there is demand of lumber domestically and internationally. Study reveals that market demand of semi-finished products such as pallets, boxes, sticks, lumber are quite high and therefore, return of investment is quite promising.

Our country's marketing program or the period of our operation shall be confined solely to the local market with the ultimate aim of expanding the marketing area within CARAGA Region, other domestic market as well as foreign buyers by the time when we will be in position to do so and to areas where there is a great demand of lumber and its by-products.

A. Products

Our establishment planned to produce as any kinds of lumber products. Finished or semi-finished products in order to maximize utilization of the wood materials. However, for the mean time, we are going to concentrate on production and manufacturing of lumber, sticks and boxes.

B. Pricing Structure

Pricing structure will depend in accordance with the prevailing market price at the time of sale. Government pricing policies will be strictly adhered and price make-up should not be more than 20% above the acquisition/production cost.

IV. SOURCE OF RAW MATERIALS

1. Undersigned logs of planted specie known as pulp (diameters ranging from 12 cm to 24 cm) coming from private tree plantation owners who are officially registered by the DENR and issued with corresponding Private Tree Plantation Certificate;
2. The proponent had tied up thru a supply contract to various private tree plantations owners and other legitimate suppliers for lumber/flitches of planted species.
3. Chainsawn lumber with dimension ranging fro a minimum of 2 inches and miximum of 6 inches in thickness regardless of its length;

V. PRODUCTION PROGRAM

The proponent is going to buy finished products of plantations species lumber/flitches and could be directly sell it to interested buyers either rough lumber or plain lumber aside from the manufactured boxes and wood pallets. In order to ensure as steady supply of lumber we will enter into and execute a lumber supply contract agreement with legitimate permittee holders in CARAGA region.

VI. EMPLOYMENT PROGRAM

The propose hiring of local employment is one of the target in order to utilize individuals and same will be paid in accordance and as mandated by law. Regular working time shall start at 8:00 A.M and will be off by 5:00 P.M. Overtime work will be required from time to time if extremely and properly compensated.

The establishment is of great help to ease the unemployment and poverty incidence in our locality.

VII. COST PRODUCTION PROGRAM

As much as possible, variable cost shall be controlled to obtain a marginal profitability but not to the extent of sacrificing the laborer. Part of the savings that can be made by the proponent will be plowed back to the employees in form of additional benefits and improved living conditions

VIII. FINANCIAL PROGRAM

The proponent shall invest a sizable amount of capital in this business venture for the first year operation. This amount shall be increased if the economic atmosphere in the country shall show better prospects as indicated by the increase surplus income of the consuming public, and thus, would result in the brisk trading in every sector of the business community to include the wood industry of our Region.

IX. POLLUTION CONTROL MEASURES

Zero waste management shall be the guiding principle of this venture and in accordance with the existing policies, rules and regulations of the Department of Environment and Natural Resources .

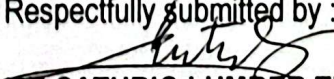
Sawdusts and woodchips will be utilized as filling materials to those low laying areas within the premises of our establishment and to other adjacent areas.

Portable resaw and other equipment shall be operated through electric motor by ASELCO and to be enclosed in a manner that it will minimize the mechanical noise.

Effective marketing strategies, products diversification and not reduction schemes shall all contribute to the growth of the proponents business and improved instrument opportunities.

This Business Plan is prepared and valid for one (1) year.

Respectfully submitted by :


JE CATUBIG LUMBER TRADING

EDNALYN E. CATUBIG
Owner/Proprietor